Arm Holdings plc (NASDAQ: ARM)
IPO Valuation & Strategy Analysis

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Thesis Question: Was Arm fairly valued at its September 2023 IPO, and did subsequent growth in royalties, licensing, Armv9, data centers, and AI justify the premium valuation?

Executive Summary

Arm priced its September 2023 IPO at $51 per ADS, the top of the marketed range. Using FY2023 financials and a six-company comparable group measured around the IPO pricing date, the offering implied approximately 18.7x EV/Revenue and about 99.9x P/E. The six-peer median EV/Revenue multiple was approximately 12.6x; the closest IP/EDA analogues, Synopsys and Cadence, averaged approximately 15.8x.

The comp-based valuation range suggests roughly $43–$45 per ADS using the core IP/EDA and upper-quartile reference points, making the $51 offer price approximately 13–18% above those benchmarks. The IPO was therefore premium-priced, but the premium was supported by Arm's unusually high gross margins, recurring royalty economics, dominant processor architecture ecosystem, and expansion opportunities beyond smartphones.

Subsequent results validate a meaningful part of that premium — but not in the way a simple growth narrative would suggest. From FY2023 to FY2026, revenue compounded at approximately 22% annually and net income at approximately 20%. Yet Arm's total shareholder return since IPO of 5.34x decomposes into only 1.67x from EPS growth, with the remaining **3.20x coming from P/E multiple expansion** — the market re-rating Arm to pay far more per dollar of earnings than it did in 2023. This distinction is the central finding of this analysis and is developed fully in Section 6.

Key Metric	Result
IPO price	$51.00
Comp-implied core range	$43.41–$45.22
IPO EV / Revenue	18.7x
Six-peer median EV / Revenue	12.6x
First-day close	$63.59 (+24.7%)
FY23–FY26 revenue CAGR	22.5%
Current (Aug 2026) EV / Revenue	58.1x (3.11x IPO level)
Current (Aug 2026) P / E	320.2x (3.20x IPO level)

1. IPO Transaction Overview

Arm's ADSs began trading on Nasdaq on September 14, 2023 after the offering priced on September 13. The base offering comprised 95.5 million ADSs at $51 each; the underwriters subsequently exercised the full 7.0 million ADS over-allotment option, bringing total ADSs sold to 102.5 million. The offering was entirely secondary: Arm itself did not receive proceeds, while SoftBank remained the controlling shareholder.

Transaction Item	Value
IPO price	$51.00 per ADS
Base ADSs offered	95.5 million
ADSs sold incl. greenshoe	102.5 million
Base offering value	$4.87 billion
Post-offering ordinary shares	~1.026 billion
Basic implied equity value	~$52.3 billion
Selling shareholder	SoftBank-controlled entity
Primary proceeds to Arm	$0

Sources: Arm final prospectus / SEC; Arm IPO pricing and closing announcements.

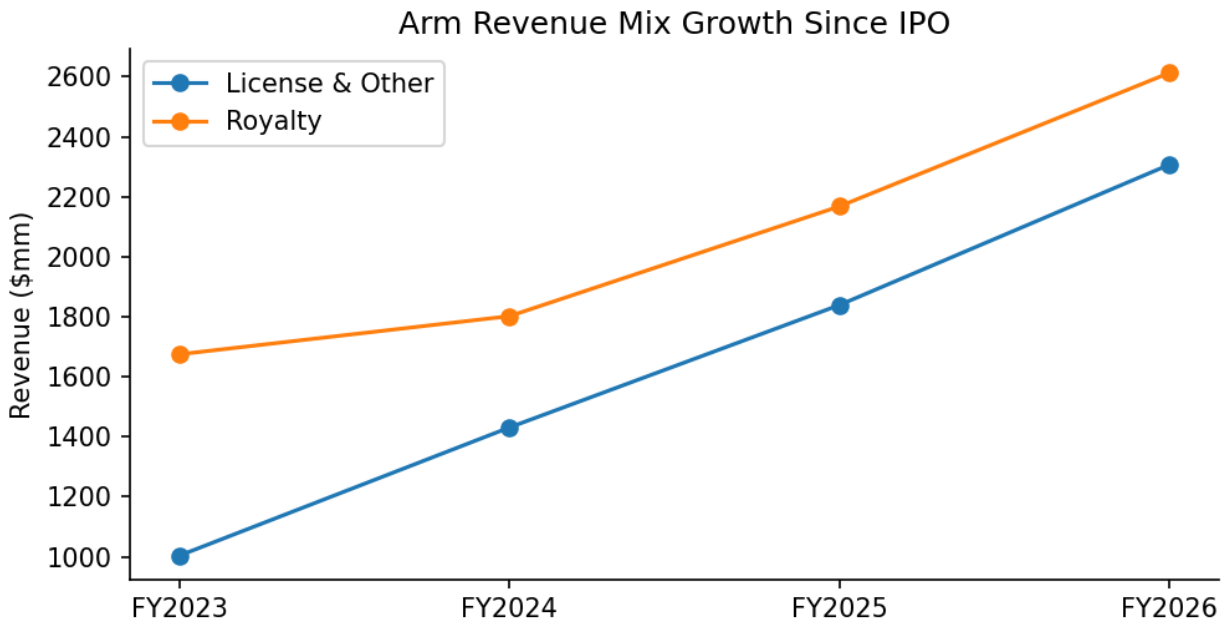
2. Business Model & IPO Investment Case

Arm is not a conventional chip manufacturer. Customers pay license fees to access Arm processor designs and architectures, then pay per-unit royalties on substantially all Arm-based chips shipped. This creates a combination of upfront licensing economics and recurring royalty revenue from successful designs.

- **Armv9 adoption:** Higher-value architectures can increase royalty opportunity per device.
- **Cloud and data centers:** Power-efficient CPU architectures expand Arm beyond smartphones and into AI infrastructure.
- **Automotive and edge:** Broader end-market penetration diversifies the royalty base.
- **Ecosystem scale:** Arm's installed base and software ecosystem create switching costs and reinforce design adoption.
- **Small IPO float:** Only roughly 9.5% of shares were initially available for public trading, helping create scarcity but also increasing volatility risk.

3. Historical Financial Performance

Metric	FY2023A	FY2024A	FY2025A	FY2026A
Revenue ($mm)	2,679	3,233	4,007	4,920
License & Other ($mm)	1,004	1,431	1,839	2,307
Royalty Revenue ($mm)	1,675	1,802	2,168	2,613
Operating Income ($mm)	671	111	831	900
Net Income ($mm)	524	306	792	904
Diluted EPS	$0.51	$0.29	$0.75	$0.85



The key retrospective signal is that both sides of the revenue model expanded. Royalty revenue grew steadily while license revenue accelerated more quickly, providing evidence that Arm continued to win new designs while monetizing the installed base. FY2024 GAAP operating income was unusually weak relative to revenue growth, partly reflecting post-IPO share-based compensation and investment intensity; profitability recovered in FY2025 and FY2026.

Sources: Arm FY2024–FY2026 annual filings and quarterly results.

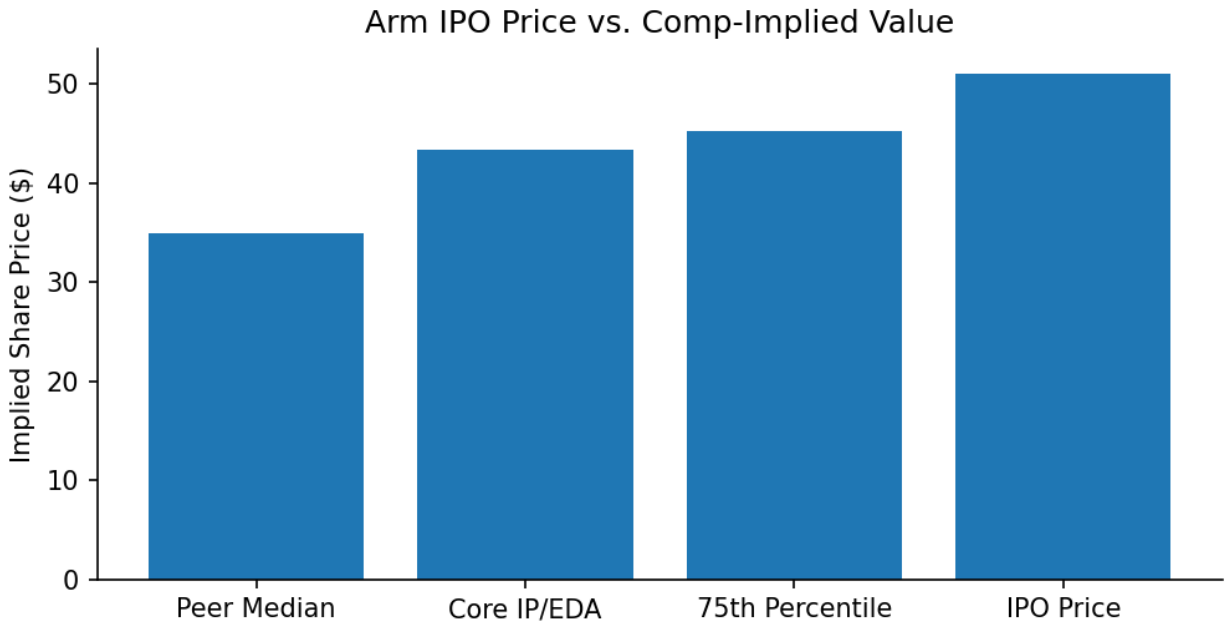
4. Comparable Company Analysis

Company	EV/Revenue	EV/EBITDA	P/E
Synopsys	14.4x	50.5x	68.3x
Cadence	17.2x	53.1x	73.6x
NVIDIA	34.2x	90.2x	108.8x
AMD	7.8x	43.2x	N.M.
Qualcomm	3.4x	11.1x	14.6x
Broadcom	10.7x	19.0x	25.4x
Median	12.6x	46.9x	68.3x

There is no perfect public comparable for Arm. Synopsys and Cadence are the closest business-model analogues because of their high-margin, asset-light semiconductor IP and design economics. NVIDIA is a useful premium-growth benchmark, while AMD, Qualcomm, and Broadcom provide broader semiconductor reference points. Accordingly, the peer median should be treated as a lower anchor rather than a mechanical fair value.

Market prices measured around September 13, 2023; financial inputs from the latest publicly available pre-IPO SEC filings.

5. IPO Valuation

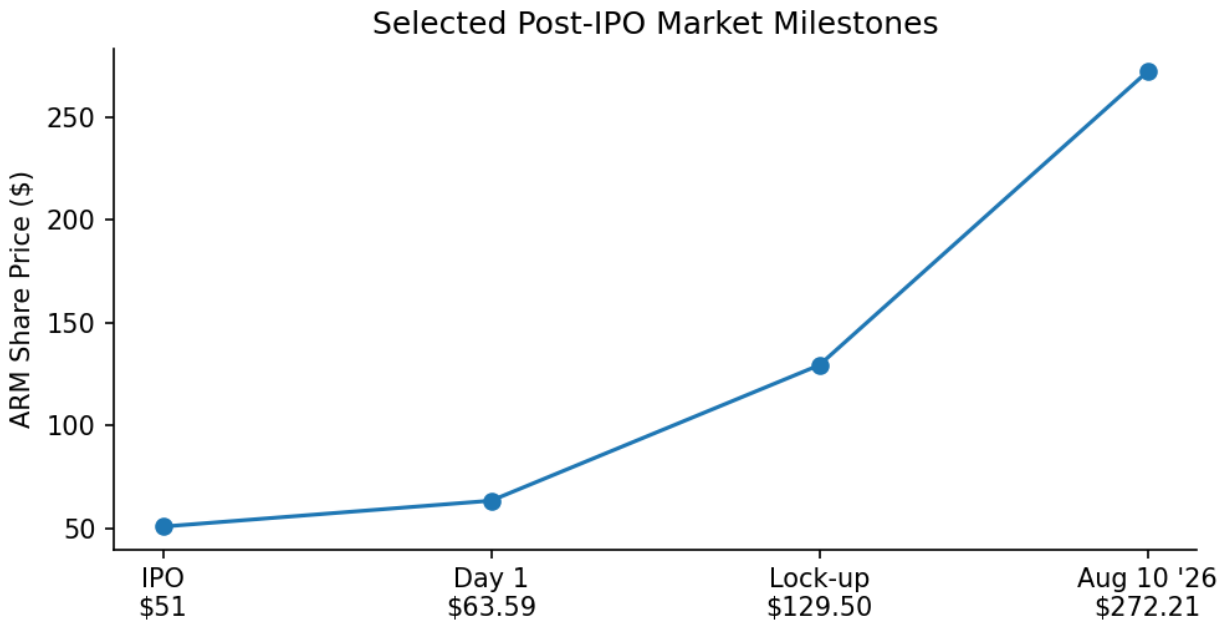


Method	EV/Revenue	Implied Share Price	Discount to $51
Full peer median	12.6x	$35.00	(31.4%)
Core IP/EDA average	15.8x	$43.41	(14.9%)
Peer 75th percentile	16.5x	$45.22	(11.3%)
Actual IPO	18.7x	$51.00	—

The most defensible comp-based range is approximately $43–$45 per ADS. That range is above the broad peer median because Arm deserved a premium for its recurring royalty model and ecosystem position, but below the actual $51 offer price. The IPO therefore appears aggressively priced by approximately 13–18% relative to the closest public-market references.

Importantly, “premium-priced” is not equivalent to “bad deal.” The goal of an IPO seller is not to maximize the first-day pop; it is to capture as much value as possible while ensuring a successful offering. Arm's 24.7% first-day gain suggests SoftBank priced aggressively but still left significant aftermarket demand.

6. Post-IPO Market & Operating Performance



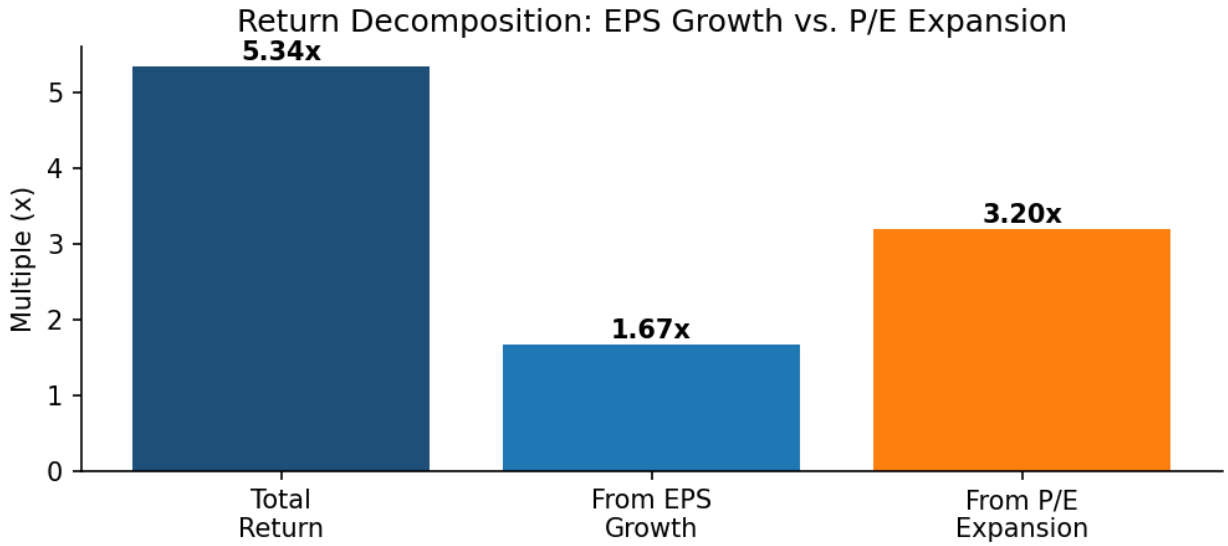
Arm closed its first trading day at $63.59, 24.7% above the $51 offer price. By March 12, 2024, when the IPO lock-up expired, the shares closed at $129.50. As of August 10, 2026, shares traded around $272.21, illustrating how dramatically the market subsequently re-rated Arm, although the stock has remained volatile around guidance and earnings.

Q1 FY2027 provided a useful check on the operating thesis: revenue was about $1.29 billion, royalty revenue rose 22% year over year to $715 million, license revenue rose 23% to $574 million, and management guided Q2 revenue to approximately $1.38 billion. Shares nevertheless fell about 7% after hours after management warned of near-term smartphone royalty softness—evidence that the premium valuation requires consistently strong execution.

Sources: Reuters, Arm investor relations, and an August 10, 2026 market-price reference.

6.4 Valuation Evolution: IPO vs. Current

Metric	IPO (Sep 2023)	Current (Aug 2026)	Change
Share Price	$51.00	$272.21	5.34x
Diluted Shares Outstanding	1,026mm	1,064mm	1.04x
Market Cap / Equity Value	$52,329mm	$289,646mm	5.54x
Net Cash + ST Investments	$2,215mm	$3,601mm	1.63x
Enterprise Value	$50,114mm	$286,045mm	5.71x
Revenue (FY23A / FY26A)	$2,679mm	$4,920mm	1.84x
Diluted EPS, GAAP	$0.51	$0.85	1.67x
EV / Revenue	18.7x	58.1x	3.11x
P / E	99.9x	320.2x	3.20x



Return decomposition: Arm's 5.34x total return since IPO splits into 1.67x from EPS growth and 3.20x from P/E expansion (1.67 × 3.20 = 5.34, an exact identity since Price = EPS × P/E). This is independently confirmed by EV/Revenue, which expanded a closely matching 3.11x. Two different multiples pointing to the same ~3.1–3.2x re-rating factor is meaningful corroboration, not a coincidence of one metric.

Interpretation: multiple re-rating contributed roughly twice as much to Arm's stock return as the underlying earnings growth did. The business did not simply grow into its IPO valuation — the market re-rated it to a materially richer valuation than investors were willing to pay in September 2023, even after accounting for that growth. This reframes the original 13–18% IPO premium: in hindsight it was conservative relative to where the market would ultimately price Arm, but it also means today's shares carry meaningfully more re-rating risk than the IPO price did, since a large share of the current valuation now depends on the AI/data-center narrative continuing to be believed at an even higher multiple than IPO investors paid.

Sources: Arm FY2026 Form 20-F (shares outstanding, cash & short-term investments as of March 31, 2026); market price as of August 10, 2026.

7. Strategic Drivers and Risks

- **Validated growth drivers:** Armv9 adoption, license wins, data-center expansion, and royalty growth have strengthened since IPO.
- **AI/data-center opportunity:** Power efficiency makes Arm increasingly relevant in cloud and AI inference workloads, and newer data-center products expand the addressable market.
- **Smartphone concentration:** Mobile remains a major royalty driver; near-term smartphone weakness can still materially affect sentiment.
- **Arm China:** China has historically represented a material revenue exposure while Arm does not directly control Arm China.
- **RISC-V:** The open-source architecture remains a credible long-term alternative that can pressure licensing economics.
- **SoftBank control:** SoftBank beneficially owned about 86.4% of Arm as of May 21, 2026, limiting minority shareholder influence.

• **Execution risk:** Moving further from pure IP licensing toward finished data-center CPU products increases both upside and operational complexity.

• **Valuation re-rating risk (new):** With the P/E and EV/Revenue multiples both roughly 3.1–3.2x above IPO levels, a larger share of Arm's current value now depends on the market sustaining an elevated multiple, not just on continued fundamental growth.

8. Final Recommendation

Verdict: Arm was premium-priced at IPO, but subsequent operating performance validated much of the growth premium — and the market went further, re-rating Arm to an even richer multiple than IPO investors paid. Arm's 5.34x total return since IPO decomposes into 1.67x from EPS growth and 3.20x from P/E expansion, independently confirmed by a matching 3.11x expansion in EV/Revenue. In hindsight, the original 13–18% IPO premium looks conservative, not aggressive, relative to where the market has since priced the business. From a transaction perspective, the deal was successful: SoftBank captured a strong valuation, Arm's limited float supported scarcity, and the market still delivered a substantial first-day gain. The long-term justification now depends less on Arm simply hitting growth targets — it has — and more on the market continuing to pay a materially richer multiple than it did at IPO, which is a meaningfully different and riskier proposition for a new investor today than it was for an IPO allocant in 2023.

The central lesson is that Arm should not be valued as an ordinary semiconductor company. Its economics are closer to a platform/IP franchise with semiconductor exposure. The strongest case for the original premium was its recurring royalty engine and ecosystem reach; the strongest argument for caution today is how much of the AI and data-center success story is now capitalized into a share price trading at roughly 3x the multiple IPO investors paid for the same growth thesis.

Appendix — Primary Sources

• **Arm final prospectus / SEC:** sec.gov/Archives/edgar/data/1973239/000119312523235320/d550931d424b4.htm

• **Arm FY2026 Form 20-F:** sec.gov/Archives/edgar/data/1973239/000197323926000097/arm-20260331.htm

• **Arm investor relations:** investors.arm.com

• **Reuters — first-day trading:** ca.news.yahoo.com/softbanks-arm-set-debut-nasdaq-113540958.html

• **Reuters — lock-up expiry:** reuters.com/technology/arms-shares-rise-wall-street-eyes-ipo-lock-up-expiration-2024-03-12/

• **Reuters — Q1 FY2027:** reuters.com/business/retail-consumer/arm-forecasts-quarterly-revenue-above-estimates-ai-driven-chip-demand-2026-07-29/

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